
**IN THE COURT OF APPEAL OF THE DEMOCRATIC
SOCIALIST REPUBLIC OF SRI LANKA**

In the matter of an appeal by way of
Stated Case on a question of law for the
opinion of the Court of Appeal under and
in terms of Section 11A of the Tax
Appeals Commission Act, No. 23 of 2011
(as amended).

**THE COMMISSIONER GENERAL
OF INLAND REVENUE,**

Department of Inland Revenue,
Inland Revenue Building,
Sir Chittampalam A. Gardiner
Mawatha,
Colombo 02.

CA No: TAX/057/2023

TAC No: TAC/IT/048/2021

APPELLANT

-Vs-

CEYLON COLD STORES PLC,

No. 117, Sir Chittampalam A.
Gardiner Mawatha,
Colombo 02.

RESPONDENT

Before : JUSTICE M.CHAMATH.B.S. MORAIS
JUSTICE ANNALINGAM PREMASHANKER

Counsel: Chaya Sri Nammuni, Deputy Solicitor General, with Madushanka Kannangara, State Counsel, and Medhaka Fernando, State Counsel for the APPELLANT.

Dr. Shivaji Felix, President's Counsel with Nivantha Satharasinghe, Attorney at Law, with Sajith Nawaratne, Attorney at Law for the RESPONDENT.

Written Submissions of the Appellant :- 18.06.2025,24.06.2025
Written Submissions of the Respondent :- 03.09.2024,28.04.2026
Argued on :- 24.02.2026
Judgement on :- 09.07.2026

JUDGEMENT

ANNALINGAM PREMASHANKER, J.

A. INTRODUCTION

A1. APPEAL

This is an appeal by **the Commissioner General of Inland Revenue (Hereinafter sometimes referred to as The Respondent/CGIR)** from the determination of the Tax Appeals Commission dated 12.06.2023 made in TAC appeal no. TAC/IT/048/2021. The Respondent is **CEYLON COLD STORES PLC**

(Hereinafter sometimes referred to as The Respondent /Tax Payer)

A2. CASE STATED

The Appellant being dissatisfied with the determination of Tax Appeals Commission (**Hereinafter sometimes referred to as TAC**) requested for an appeal by a case stated for the opinion of the Court of Appeal by their communication dated 11.07.2023.

B. ARGUMENT

On 24th February 2026, both parties concluded the argument. The Appellant has furnished written submissions on 24.06.2025. The Respondent has furnished the written submissions on 28.04.2026.

C. ANALYSIS

C1. QUESTIONS OF LAW

There were two questions of law presented for the opinion of the Court of Appeal, in the case stated dated 27. 07. 2023. They are:

- 1. Whether the Tax Appeals Commission has erred in law when determining that the Appellant Company was denied fair hearing and the Appellant was not given proper opportunity to present their case before the Commissioner General of Inland Revenue?**
- 2. Whether the Tax Appeals Commission has erred in law when determining that is unnecessary to consider the substantive aspects to this case?**

C2. TAX RETURN

The tax payer submits its return for the year 2016/2017, claiming an income tax exemption on net income received on security deposits on bottles and crates. This claim was rejected by the Assessor and the return is not accepted and issued an assessment.

C3. FIRST APPEAL

Being aggrieved by the said Assessment, the tax payer made an appeal to the CGIR. The Tax Payer made the same agitation before the CGIR. CGIR by his determination dated 22.06.2021 determined the appeal by confirming the assessment.

C4. SECOND APPEAL

The tax payer being not satisfied with the determination of the CGIR, made an appeal to the TAC. TAC by its determination dated 12.06.2023, set aside the determination made by the Appellant and allowed the appeal.

C5. OPENING INCOME

The basic matter in issue is that the Tax Payer is on the business of selling soft drinks and there is an amount that has been included as “opening income”, which the Tax Payer states is not tax liable as this is forfeited deposit by the dealers not returning the bottles and that there was no disposal of capital assets as the ownership of the bottles and crates was with the Tax Payer.

C6. CAPITAL ASSET

The Appellant states that the Tax Payer recognizes the said amount as a revenue income. Section 25(3)(a) states that disposal of a capital asset used in a business is taxed as a revenue income if the depreciation on cost of acquisition has been claimed. It has been held and not disputed by the Tax Payer that depreciation has been claimed. Section 25(7)(b) defines a "capital asset" as any "equipment" utensil etc used in relation to the trade and business. The Distributer agreement, clause 5(i) states that the bottles and crates are given to expand the distributorship and the bottles and crates are given on deposit and rolled over with each distribution.

C7. DISPOSAL

The Respondent argues that there is no sale if the bottles and crates/ capital assets as the ownership is with the Respondent. However, section 25(7)(d) (ili) describes 'disposal' as "cessation of the use of such asset". Thus, the "proceeds" that are taxable is defined in section 25(7)(c) (i) is the amount of the deposit which is the money recovered, which would be the market value because no entity would do business other than for profit and the loss of the bottles and crates needs to be compensated at the market price.

C8. CASE STATED

After hearing the Appeal, the Tax Appeals Commission, by determination dated 12 June 2023, annulled the assessment previously confirmed by the Commissioner General of Inland

Revenue and allowed the taxpayer's appeal. Being aggrieved by the aforesaid determination of the Tax Appeals Commission the Appellant, Commissioner General of Inland Revenue, made an application by letter dated 11 July 2023 for a Stated Case, for the opinion of Court of Appeal on the questions of law enumerated therein. In the case stated, the Appellant has submit two issues for the opinion of the Court of Appeal, that is the Tax Payer denied fair hearing and not given proper opportunity to present their case before the CGIR and whether the TAC can determine the appeal without considering the substantial issues.

C9. TAC'S POWER

In the appeal made to the TAC, after hearing the evidence, the Commission shall on appeal either **confirm, reduce, increase or annul, as the case may be, the assessment as determined by the Commissioner General or may remit the case to the Commissioner-General with the decision of the Commission on such appeal.** Where a case is so remitted by the Commission, the Commissioner General shall revise the assessment in order that it is in conformity with such amount as stated in the decision of the Commission. The decision of the Commission shall be notified to the appellant and the Commissioner-General in writing.

C10. CONSIDERATION

The Appellant asserts that if the TAC was to 'annul' the assessment, as was done by the TAC in this instant case, they would have to annul the assessment that was determined by the Appellant. The TAC never even considered what was determined by

the Appellant CGIR but proceeded to annul the assessments issued. The word "determined" in this context means, "decided", "considered" "analyzed". Because the TAC is the final appellate authority on the facts.

C11. PROCEEDING

An appeal had been made by the taxpayer. The inquiry was held on 10 March 2020 by Ms. A I Abeywickrama, Senior Deputy Commissioner. In the course of such inquiry an agreement was not reached regarding the matters specified in the petition of appeal. The Appellant's reasons for the determination dated 12 August 2021 incorrectly indicates that the Respondent had no objection to referring to the Year of Assessment under review by the Tax Appeals Commission. This is not the case and the Respondent required an opportunity for presenting its argument at a hearing.

The determination of the CGIR is dated 22 June 2021 and it indicates that no hearing has taken place. This position is confirmed in the Appellant's reasons for his determination.

C12. OPPORTUNITY

It is the Respondent's position that no agreement had been reached with the Assistant Commissioner as contemplated by section 165 (7) of the Inland Revenue Act, No 10 of 2006 (as amended). Therefore, the matter was fixed for hearing by the Commissioner General of Inland Revenue. Here too no oral submissions took place at a hearing. This opportunity had been

prevented for no fault made by the taxpayer. The Appellant afforded no opportunity to the Respondent to present his case at a hearing.

C13. NO HEARING

It is relevant to consider the document marked P3', by which the Department of Inland Revenue communicated the determination of the Commissioner General, regarding the Respondent's appeal to the Commissioner General which had been signed by Commissioner D.M.S Dissanayake. In communicating the decision, the writer states that

"...having considered the written and oral submissions made by authorized representatives and a few officials on behalf of the appellant company and the views, explanations ruling submissions made by the Department officials on behalf of the revenue, I determine the above appeal by confirming the assessment..."

The Determination, however, gives three dates of hearing, namely 13.12.2012, 21.01.2013 and 07.03.2013 and the notation added by Commissioner DMS Dissanayake states that

"The above appeals heard before K. Dharmadasa and the dates of hearing mentioned above are dates of hearing made by him. "

The above, clearly shows that no hearings had taken place before Commissioner D. M. S. Dissanayake and for him to say that he considered 'oral submissions made by authorized representatives

and a few officials on behalf of the appellant company. ' is patently incorrect and demands inquiry, not only from the perspective whether the Respondent was accorded a fair hearing but also whether the submissions made on behalf of them received due consideration. Therefore, it is incorrect to state that no prejudice is allegedly caused to the Respondent.

Further, if the Respondent was not provided with a fair hearing, then the assessment made by the Commissioner-General is defective and the fact that the assessment was made by another assessor is quite apparent. Then the TAC is not required to further consider the defective assessment of the Commissioner - General, since the objection of the Respondent goes to the root of the cause.

C14. SUBSTANTIVE ISSUES

If the interpretation advanced by the Appellant is accepted, the Court will inadvertently usurp legislative functions by limiting the scope of the appeal, when an express limitation is not provided by the Legislature. In terms of Section 8(1) (a) of the Tax Appeals Commission Act;

"8(1) Any person aggrieved by the determination of-

- a) the Commissioner-General, in respect of any matter relating to the imposition of any tax, levy, charge, duty or penalty; or*
- b) the Director-General under subsection (1B) of section 10 of the Customs Ordinance,*

may if he is dissatisfied with the reasons stated by the Commissioner-General or the Director- General, as the case may be, prefer the appeal there from to the Commission within thirty days from the date of receipt of such reasons; or"

If the Legislature intended the jurisdiction of the TAC to be limited to only review of the substantive matter of the assessment, why would the Legislature in Section 8(1)(a) allow an appeal to the TAC in respect of 'any matter' relating to the imposition of any tax, levy charge, duty, or penalty of the Commissioner - General? The rational conclusion that could be drawn is that the Legislature never intended to limit the jurisdiction of the TAC only to substantive issues.

C15. PROPRIETY

In any event, it is the fault of the Appellant to have waited until the statutory time period for hearing an appeal which was almost at an end before taking steps to hear and determine the appeal. The Respondent cannot be faulted for the delay occasioned in hearing the appeal. Therefore, since there has been a breach of procedural propriety and the principles of natural justice, the assessment was annulled and the appeal was allowed.

C16. PRELIMINARY ISSUE

It has previously been held by the Supreme Court that the Tax Appeals Commission is entitled to dispose of a matter on a preliminary objection alone. This has been the basis of the decision made by the Supreme Court in ***Seylan Bank PLC v***

Commissioner General of Inland Revenue, SC Appeal No 46/2016. In this case, the decision was made by the Tax Appeals Commission on a preliminary issue only. Similarly, in **Commissioner General of Inland Revenue v Koggala Garments (Pvt) Ltd, CA Tax 1/ 2008**, the Tax Appeals Commission made its decision entirely on a preliminary issue.

C17. CASE REFERENCE 01

In **Commissioner General of Inland Revenue v Classic Travels (Pvt) Ltd SC Appeal 55/2024**, His Lordship Justice Aluwihare, PC, J:

The Appellant argued that as per Section 9(10) of the Tax Appeals Commission Act No.23 of 2011 (as amended) a final determination cannot be given, which results in the assessment being annulled if the substantive tax issue is not considered by the TAC. On this basis the Appellant argues that the TAC erroneously disposed of its mandate by way of a preliminary objection. The contention simply stated was that the, the TAC is only mandated to consider appeals, on merit.

Section 9(10) of the Tax Appeals Commission Act provides that, "After hearing the evidence, the Commission shall on appeal either confirm, reduce, increase or annul, as the case may be, the assessment as determined by the Commissioner- General or may remit the case to the Commissioner-General with the decision of the Commission on such appeal. Where a case is so remitted by the Commission, the Commissioner- General shall

revise the assessment in order that it is in conformity with such amount as stated in the decision of the Commission.”

I do not find merit in the contention of the Appellant referred to above, regarding the question of law. The advantage of a preliminary objection is to prevent unnecessary litigation. Hence, the purpose of preliminary objections is not to stifle legitimate adjudication but to dispose a matter expeditiously when it is apparent that the action cannot be maintained.

C18. CASE REFERENCE 02

The Supreme Court in **Commissioner General of Inland Revenue v Classic Travels (Private) Limited, SC Appeal No 158/2018** held:

It is a well- established principal that a jurisdictional question can be decided prior to the substantive issue. Wade and Forsyth's Administrative Law, states as follows:

Where a jurisdictional question is disputed before a tribunal, the tribunal must necessarily decide it. If it refuses to do so, it is wrongfully declining jurisdiction and the court will order it to act properly. Otherwise the tribunal or other authority 'would be able to wield an absolutely despotic power, which the legislature never intended that it should exercise It follows that the question is within the tribunal's own jurisdiction, but with this difference, that the tribunal's decision about it cannot be conclusive. This also was explained in the classic case.

In **Commissioner General of Inland Revenue v Classic Travels (Pvt) Limited, SC Appeal No 158/ 2018**, the Supreme Court judgement of His Lordship Aluwihare J, states as follows:

As judicial review is a collateral challenge and not an appeal, it will only be in exceptional circumstances that the courts will allow the collateral process of judicial review to be used to attack an appealable decision, when Parliament has expressly provided by statute an appellate procedure. But exceptional circumstances may arise when it would be unjust for the taxpayer to appeal a decision of the Commissioner - General. For example, if the Commissioner - General during the hearing acted illegally or ultra vires, then exceptional circumstances may arise where judicial review is appropriate to challenge the alleged abuse at its inception. Otherwise, the taxpayer would be expected to proceed with the allegedly illegal hearing until the determination is issued by the Commissioner - General to appeal the Commissioner - General's assessment to the TAC.

Accordingly, in my opinion judicial review is not the proper remedy unless exceptional circumstances justify a claim for judicial review. If judicial review is eliminated as a remedy unless exceptional circumstances justify a claim, then the proper remedy would be an appeal to the TAC, therefore, if find no merit in the contention of the Appellant.

The above judgements clearly reveal that the TAC can decide the appeal only on the valid preliminary objection without considering the substantial issues.

C19. ANSWERS TO THE QUESTIONS OF LAW

For the reasons adumbrated above, the questions of law are answered as follows:

Q.N.1. No.

Q.N.2. No.

D. CONCLUSION

As analyzed above and as the two questions raised in the case stated are answered as above, the determination of the TAC dated 12.06.2023 is affirmed, the appeal is dismissed.

The Registrar is directed to forward a copy of the judgment to the Tax appeal commission.

On this 9th day of July 2026

JUDGE OF THE COURT OF APPEAL

M. C. B. S. MORAIS

I agree.

JUDGE OF THE COURT OF APPEAL